

Tourism as a Catalyst for Job Creation in Lumbini

July 16, 2025

Nepal

Education
Team



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Motivation

- Tourism is a **key economic sector for job creation**, foreign exchange earnings, and GDP growth.
 - **Labor-intensive sector** with a lot of potential for job creation compared to other sectors.
 - The World Bank has identified tourism as one of the **five priority sectors** for job creation in the coming decades.
 - ILO and UN Tourism consider tourism as one of the **most dynamic sectors** of economic activity in modern times.
- **Measuring tourism employment** helps understand:
 - The sector's contribution to total employment in a country.
 - Its potential for inclusive and localized job creation.
 - The design of skills development policies for supporting job creation.

Context—Lumbini as a global hub for spiritual and cultural tourism



Lumbini: A Spiritual and Cultural Heritage Site

- Birthplace of Lord Buddha and one of the holiest pilgrimage sites for Buddhists worldwide
- Recognized as a UNESCO World Heritage Site since 1997
- Hosts **iconic landmarks** such as the Maya Devi Temple, Ashoka Pillar, and Sacred Garden



Tourism's Importance for Lumbini

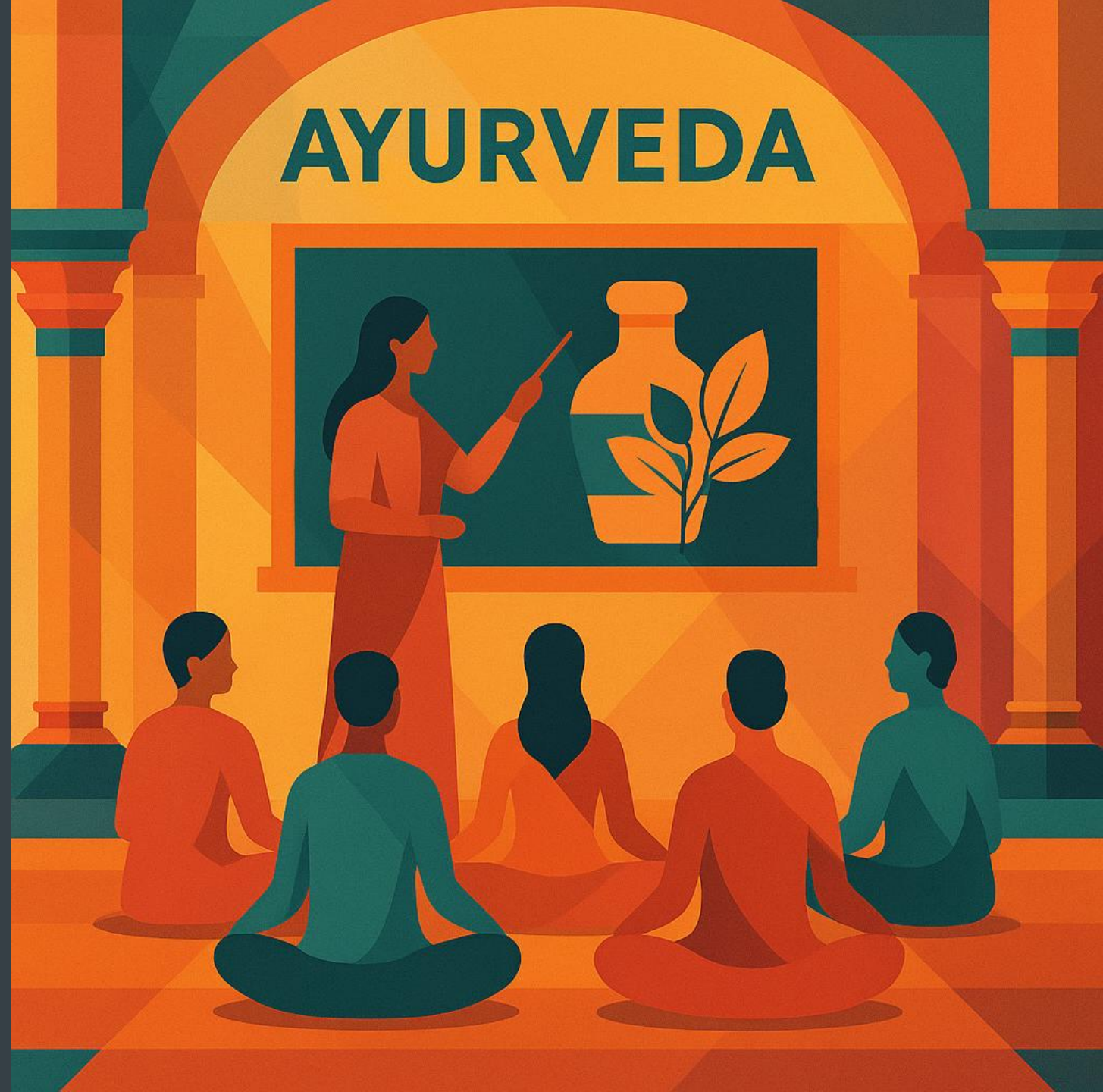
- Draws over **1 million visitors annually**, including domestic and international pilgrims
- A key driver of the local economy—boosts jobs in tourism
- Significant potential for **inclusive, sustainable tourism** to reduce poverty and empower local communities



Opportunities for Development

- Enhancing infrastructure (roads, sanitation, connectivity) to improve the visitor experience
- Expanding **Ayurveda, wellness, and meditation tourism** linked to Buddhist philosophy
- Strengthening **Buddhist-related skills and training programs** to encourage longer stays by tourists

Data and definitions used in this study



Supply-side analysis

- **Source and coverage:** **Microdata** for the Nepal Living Standards Survey 2022/2023 collected by the national statistical agency.
- **Representativeness:** **Nationally-representative** survey with sample designed to provide reliable provincial-level statistics.

Demand-side analysis

- **Source:** Online job postings compiled by Lightcast, a leading provider of labor market statistics.
- **Coverage:** Monthly from 2020 to 2024.
- **Representativeness:** Only represents medium and high-skilled labor demand traditionally posted online.

Definitions used in this study

1. Nepal Living Standard Survey data

- Covered population: Nationally representative.
- Variables: Occupations using ISCO classification at **4-digit level** and industries using ISIC classification at **4-digit level**.

ISIC
classification



- Use ILO and UN Tourism definition of the tourism sector.

Supply side

2. Online job postings web scrapping

- Covered population: Only medium and high-skilled occupations.

Lightcast
dictionary



- Use ILO and UN Tourism definition of the tourism sector proxied by NAICS sectors

Demand side

ILO and UN Tourism definitions

- Tourism is defined as activities of people traveling outside their usual environment for <1 year.
- Tourism employment spans **multiple industries**, including:
 - Accommodation (e.g., hotels, campsites)
 - Food & beverage (e.g., restaurants, bars)
 - Passenger transport (e.g., air, rail, sea)
 - Entertainment (e.g., museums, parks, sports)
 - Travel services (e.g., agencies, tour operators)
- Classification follows ISIC Rev. 4 at 4-digit level.
- Definitions are consistent with the International Recommendations for Tourism Statistics 2008.

Demand side data – Sample size

Number of unique online job postings by year in South Asia, 2020-01 to 2024-12

		2020	2021	2022	2023	2024	Total
Afghanistan	#	2,544	2,571	6,918	9,457	6,851	28,341
	%	9%	9%	24%	33%	24%	100%
Bangladesh	#	977	2,352	5,521	13,990	24,727	47,567
	%	2%	5%	12%	29%	52%	100%
Bhutan	#	14	38	118	243	150	563
	%	2%	7%	21%	43%	27%	100%
India	#	1,269,612	5,470,283	5,679,302	8,050,401	5,508,211	25,977,809
	%	5%	21%	22%	31%	21%	100%
Maldives	#	120	350	463	1,630	2,176	4,739
	%	3%	7%	10%	34%	46%	100%
Nepal	#	335	882	2,479	3,062	1,817	8,575
	%	4%	10%	29%	36%	21%	100%
Pakistan	#	55,741	142,736	128,350	190,101	209,071	725,999
	%	8%	20%	18%	26%	29%	100%
Sri Lanka	#	846	2,640	5,901	9,143	6,730	25,260
	%	3%	10%	23%	36%	27%	100%
Total SAR	#	1,330,189	5,621,852	5,829,052	8,278,027	5,759,733	26,818,853
	%	5%	21%	22%	31%	21%	100%

Source: Own elaboration based on Lightcast Online Job Postings database.

Demand side data – Time period coverage

Online job posting data collection period in South Asia, 2020-2024

	Afghanistan	Bangladesh	Bhutan	India	Maldives	Nepal	Pakistan	Sri Lanka
First date	2020-05-19	2020-01-17	2020-08-10	2020-01-07	2020-01-02	2020-01-07	2020-01-06	2020-01-28
Last date	2024-12-31	2024-12-31	2024-12-27	2024-12-31	2024-12-31	2024-12-31	2024-12-31	2024-12-31
Total period (months)	55	58	50	60	60	54	60	58

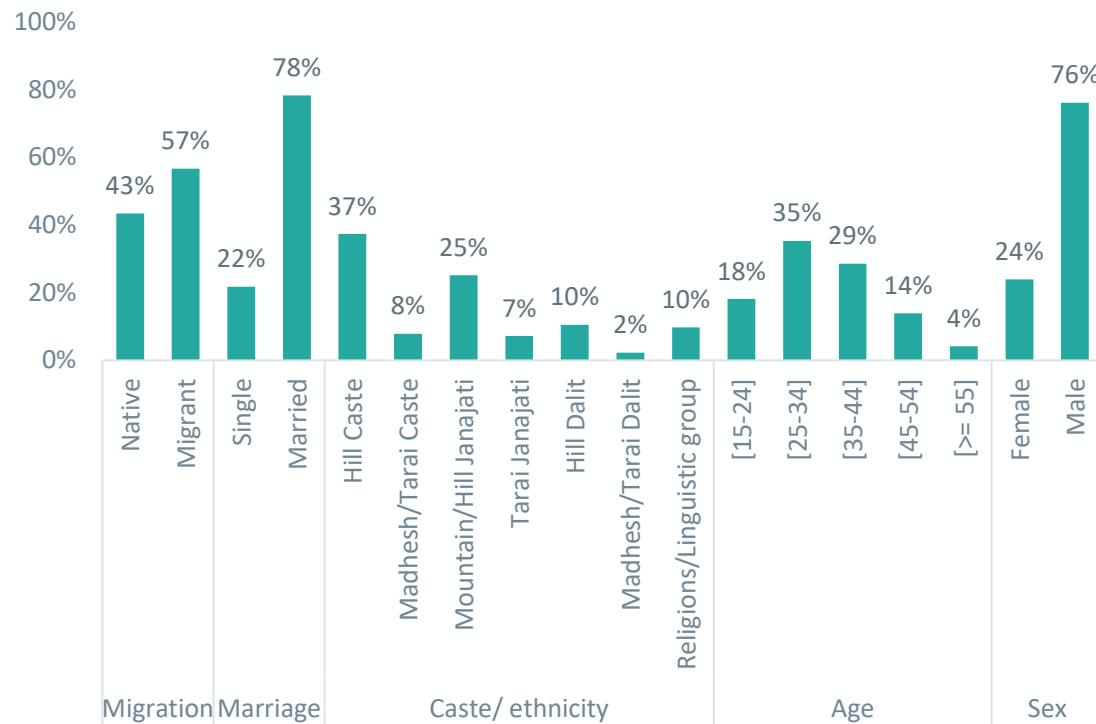
Source: Own elaboration based on Lightcast Online Job Postings database as of December 31, 2024.

Lumbini's tourism workforce – Supply side

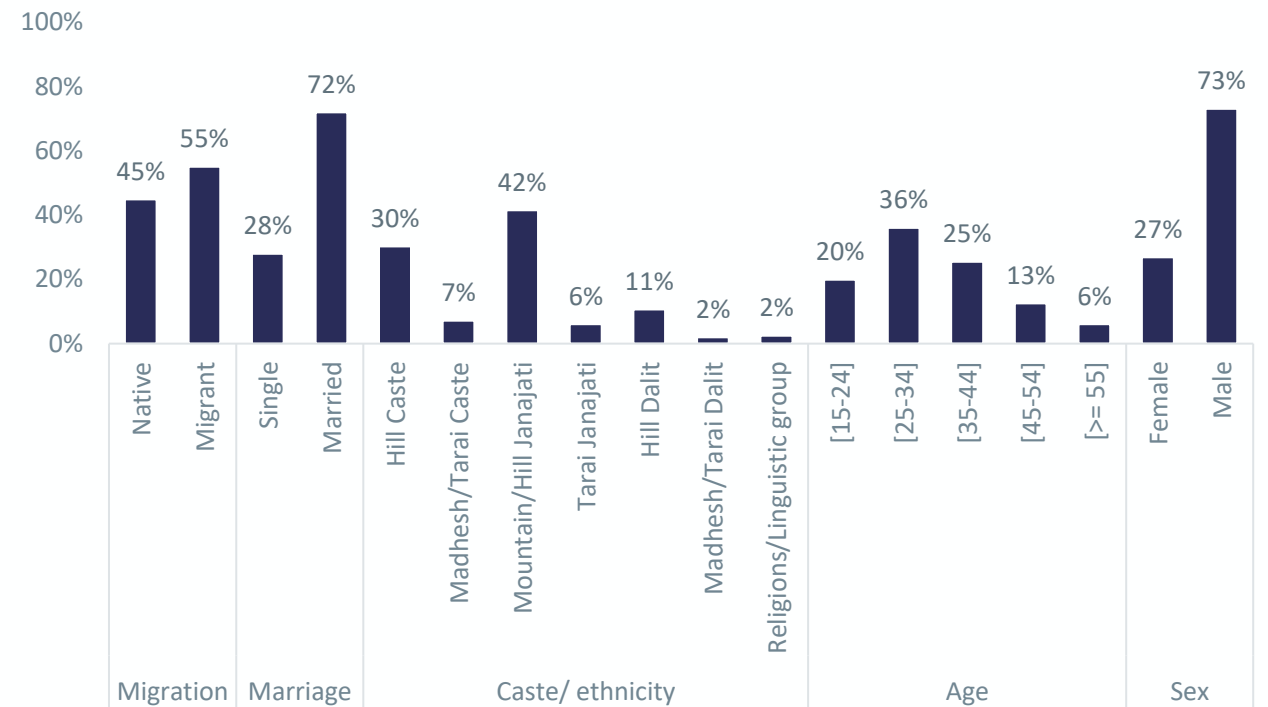


Lumbini tourism workers resemble those across Nepal—mostly are migrant, male, between ages 25-34, and married—but they are more likely to belong to the hill janajati ethnic group rather than the hill caste.

Profile of Lumbini workers in the tourism sector, 2022/2023



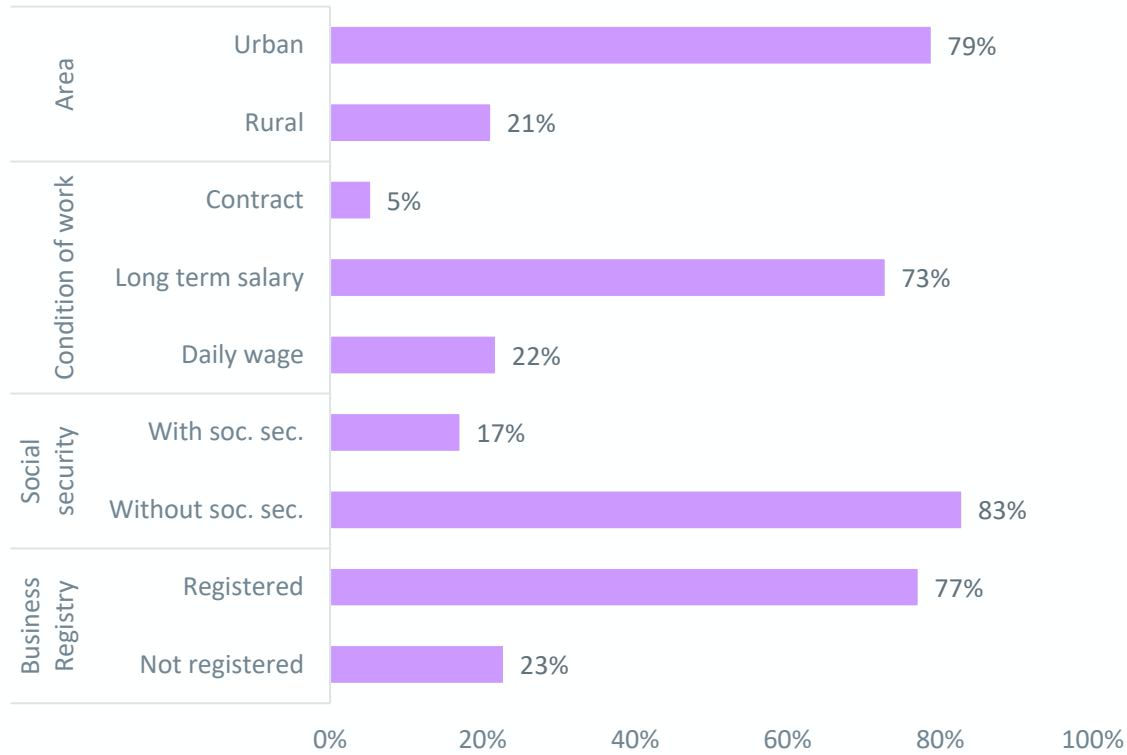
Profile of Nepali workers in the tourism sector, 2022/2023



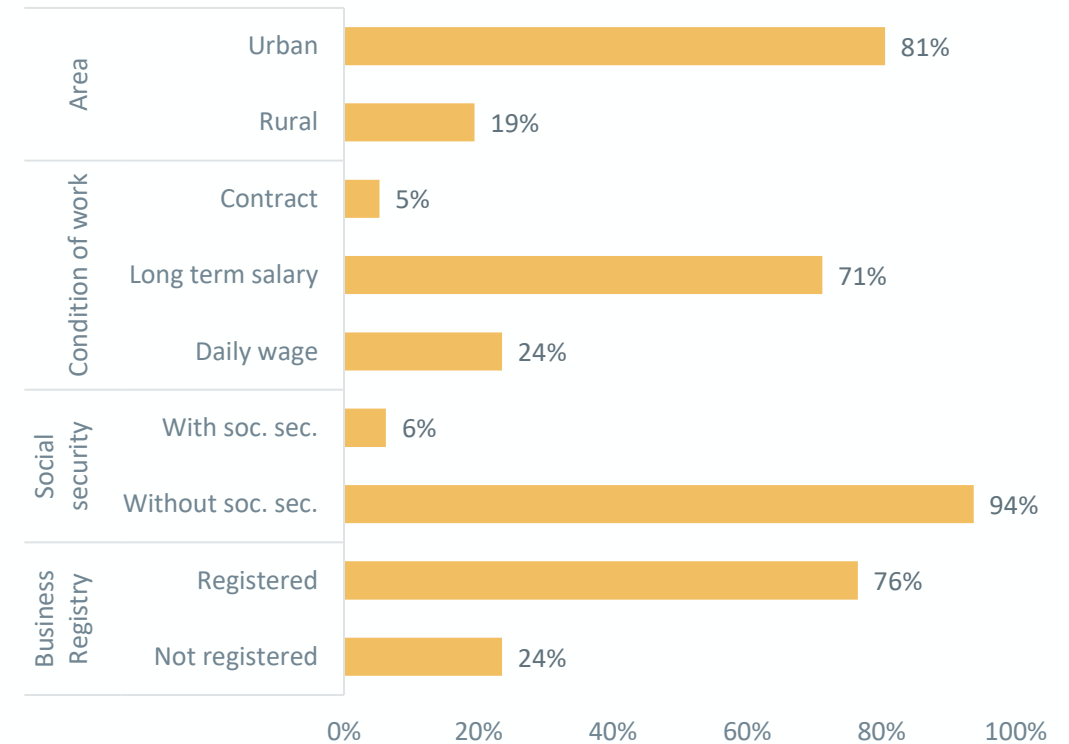
Source: Own elaboration based on microdata from the Nepal Living Standards Survey 2022/23. Tourism sector refers to the ILO definition, based on ISIC Rev. 4 at the 4-digit level. It includes accommodation for visitors, food and beverage services, passenger transportation, recreation and entertainment, and travel agency and reservation services. See the detailed list of ISIC activities included at: <https://ilostat.ilo.org/methods/concepts-and-definitions/description-worker-and-sector-profiles/>

Most tourism workers in Lumbini live in urban areas, are formally registered, and earn a long-term salary—but the vast majority lack access to social security. These mirrors closely the national average in the sector.

Profile of employment in the tourism sector in Lumbini, 2022/2023



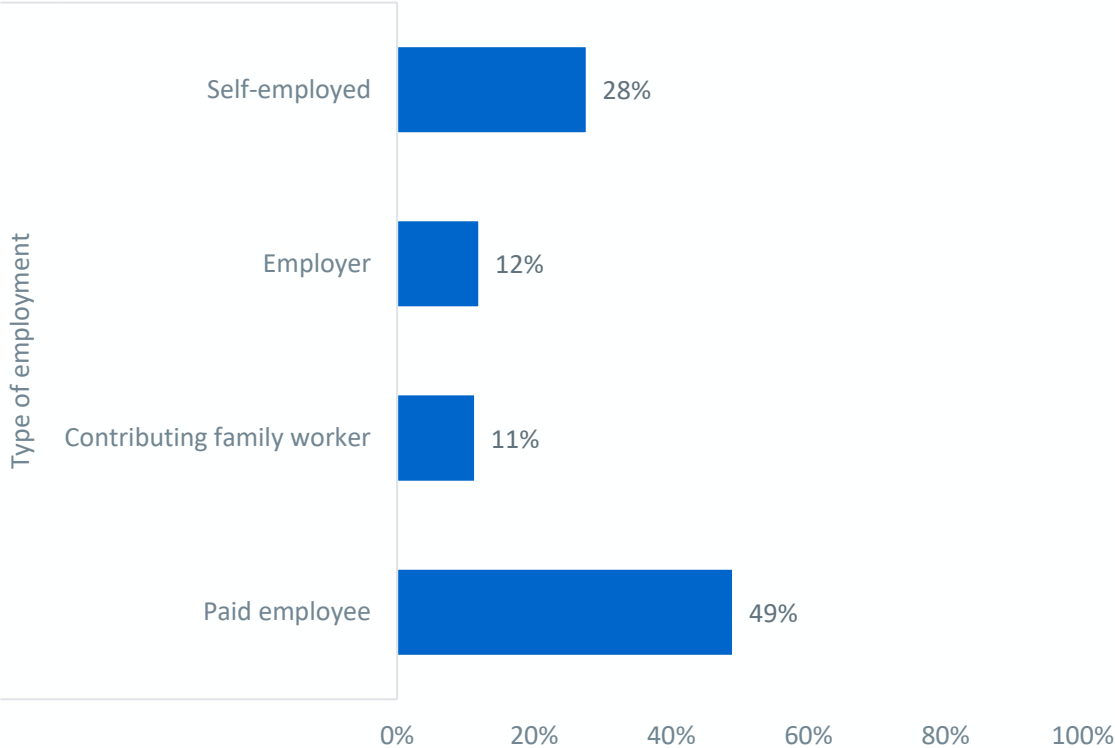
Profile of employment in the tourism sector in Nepal, 2022/2023



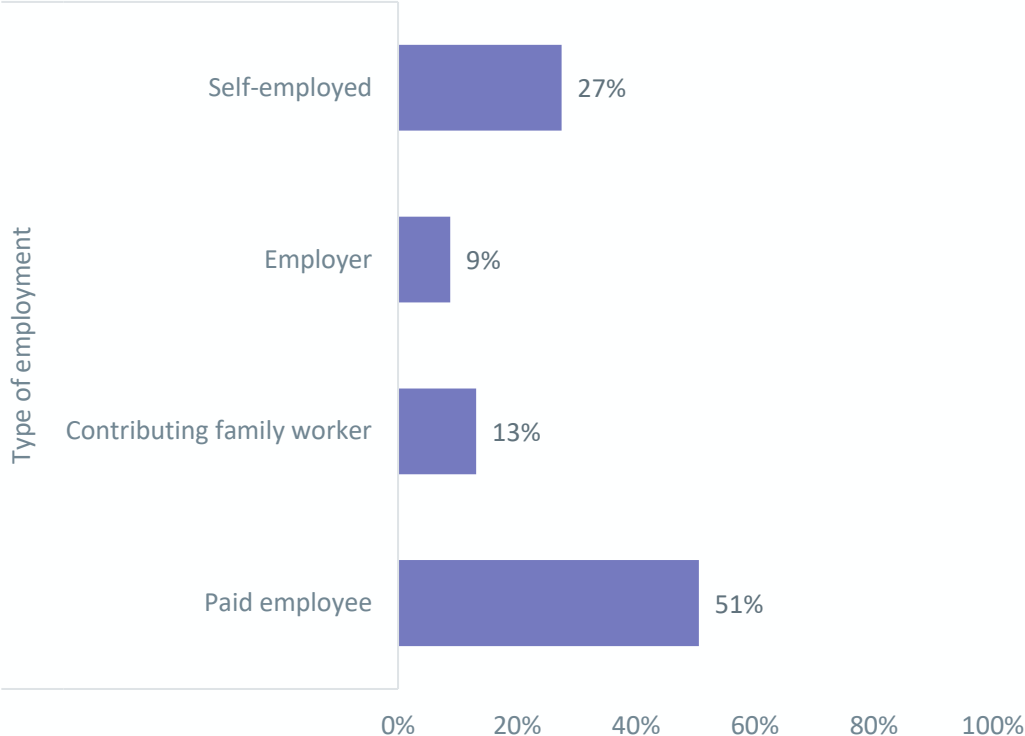
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About half of the tourism workers in Lumbini are paid employees, while a third are self-employed.

Profile of employment in the tourism sector in Lumbini, 2022/2023



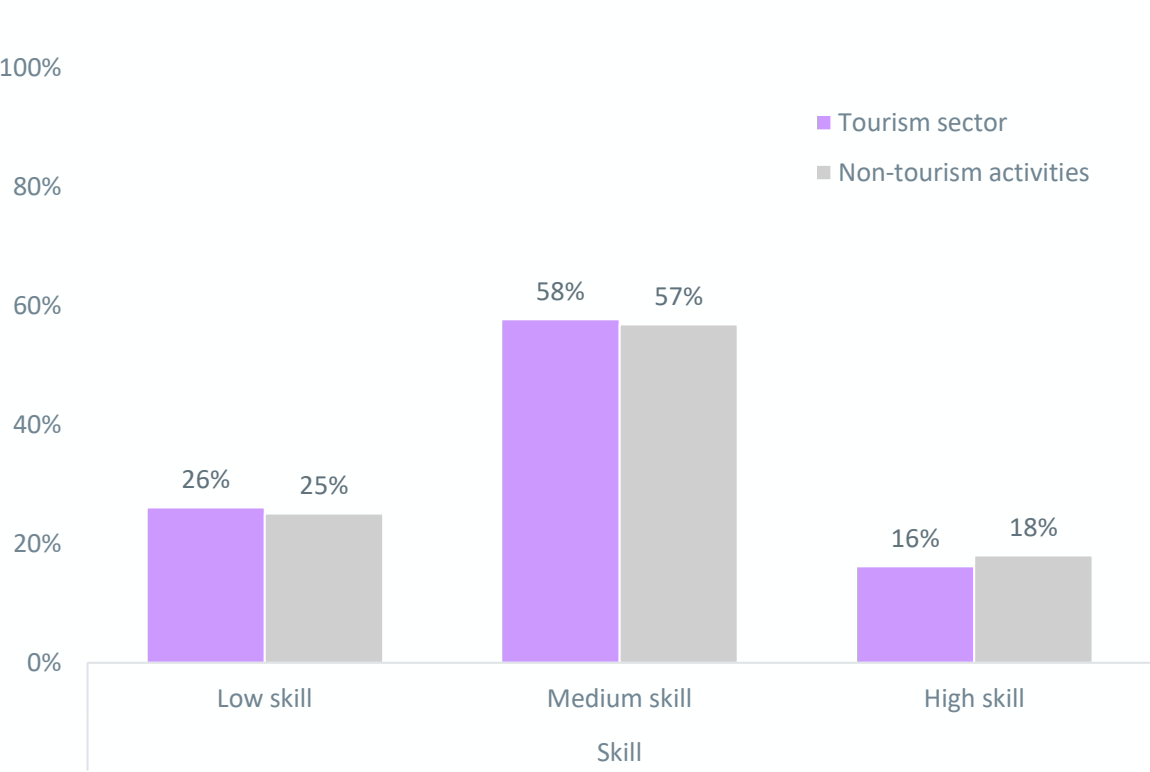
Profile of employment in the tourism sector in Nepal, 2022/2023



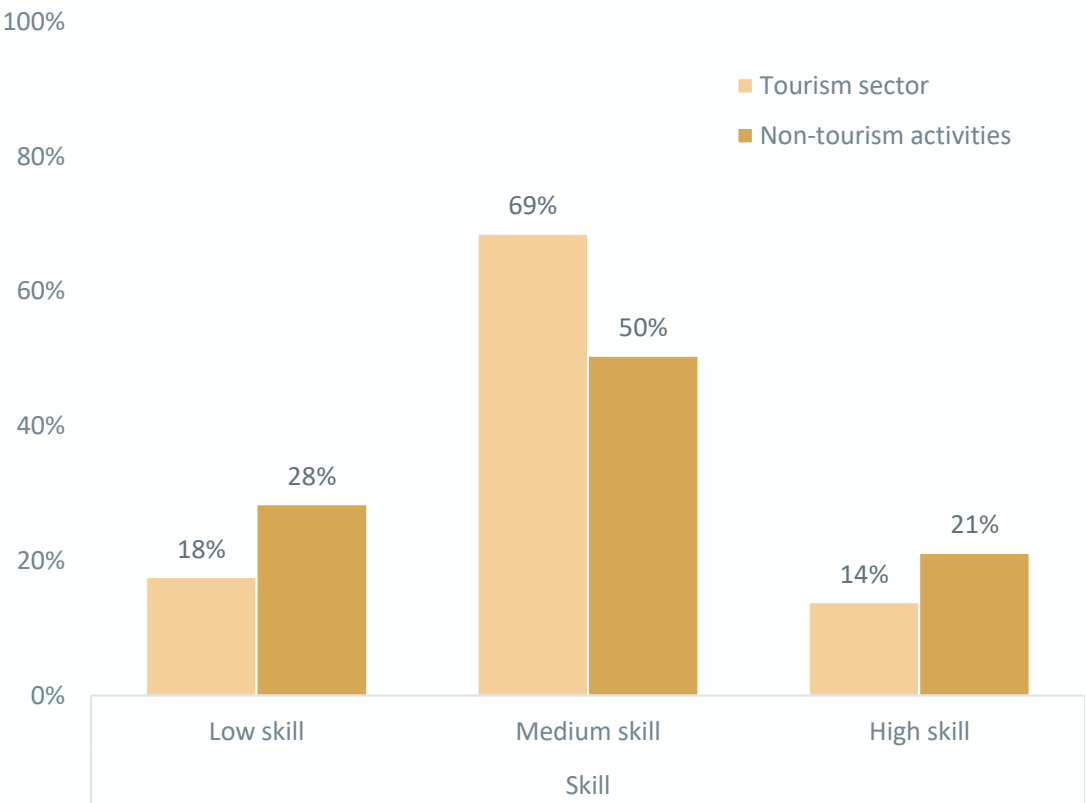
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Tourism in Lumbini tends to attract a less-skilled workforce compared to other parts of Nepal, with most workers employed in medium-skilled roles—underscoring the sector’s role in absorbing semi-skilled labor.

Profile of employment in Lumbini: tourism sector vs other economic activities, 2022/2023



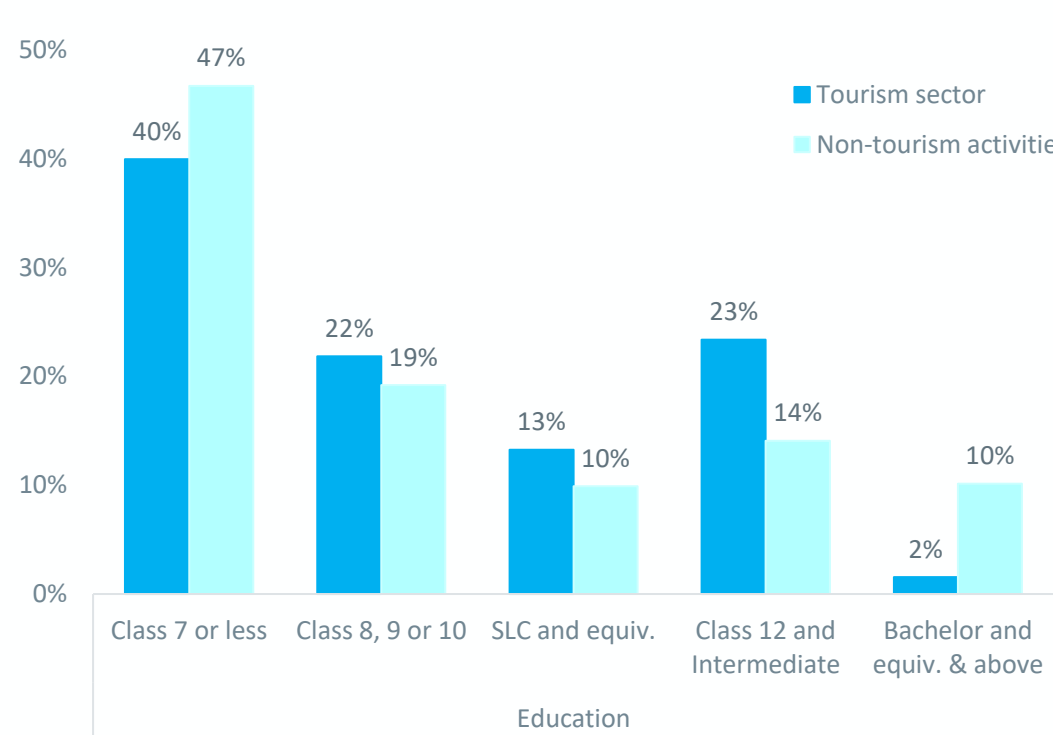
Profile of employment in Nepal: tourism sector vs other economic activities, 2022/2023



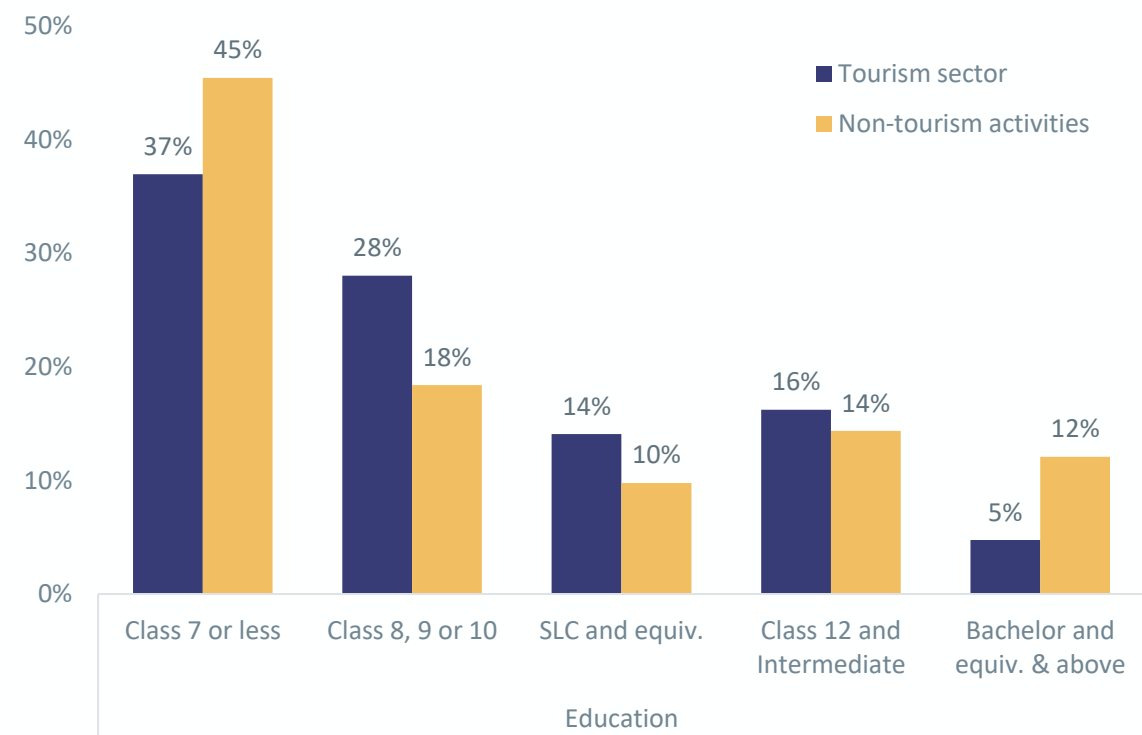
Source: Own elaboration based on microdata from the Nepal Living Standards Survey 2022/23. Tourism sector refers to the ILO definition, based on ISIC Rev. 4 at the 4-digit level. It includes accommodation for visitors, food and beverage services, passenger transportation, recreation and entertainment, and travel agency and reservation services. See the detailed list of ISIC activities included at: <https://ilostat.ilo.org/methods/concepts-and-definitions/description-worker-and-sector-profiles/>

Medium-skilled tourism jobs in Lumbini typically require 8 to 12 years of schooling—and 6 in 10 tourism workers in the province have this level of education.

Profile of workers in Lumbini: tourism sector versus other economic activities, 2022/2023



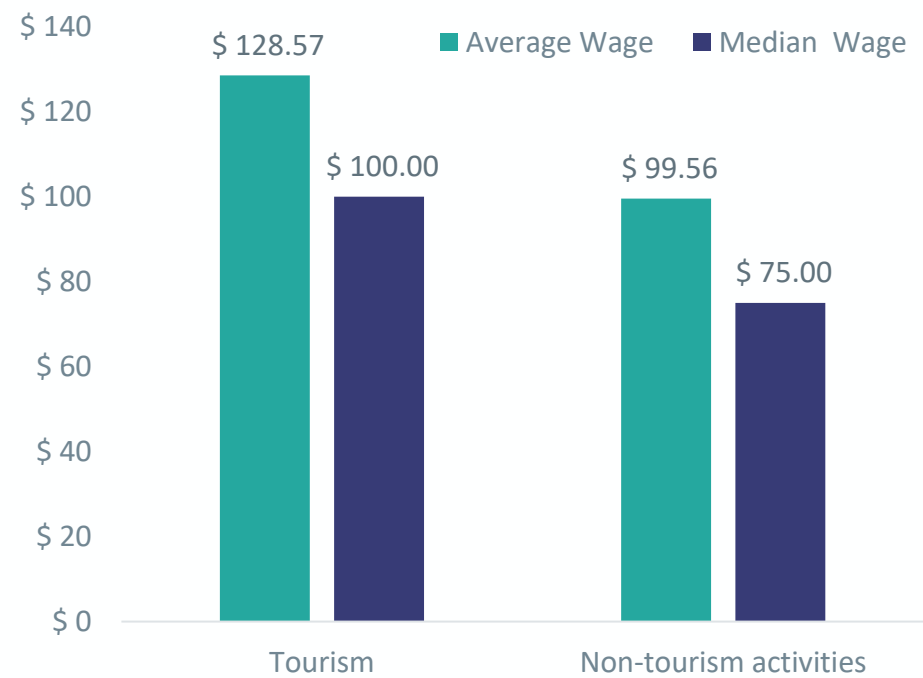
Profile of workers in Nepal: tourism sector versus other economic activities, 2022/2023



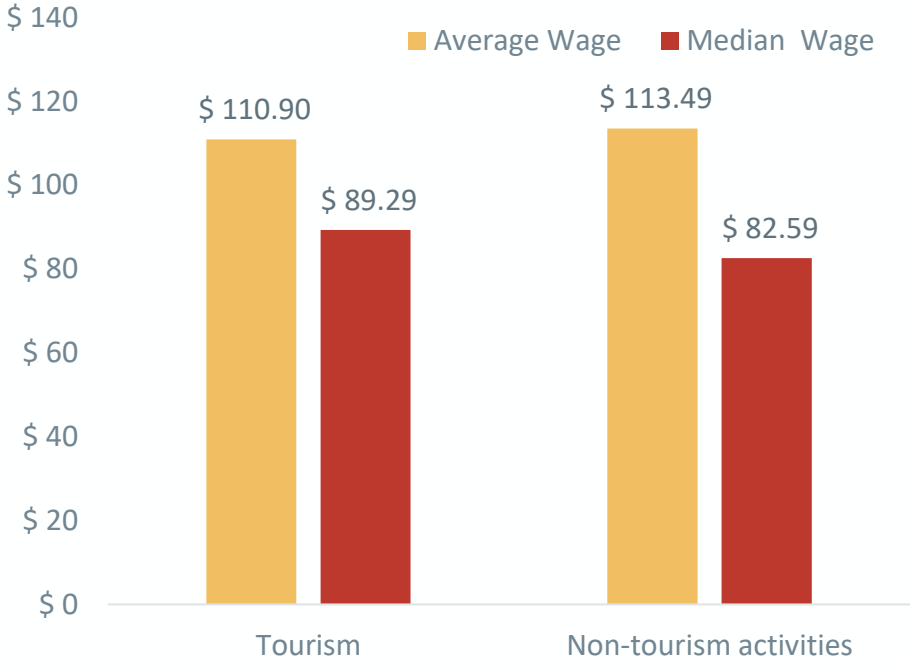
Source: Own elaboration based on microdata from the Nepal Living Standards Survey 2022/23. Tourism sector refers to the ILO definition, based on ISIC Rev. 4 at the 4-digit level. It includes accommodation for visitors, food and beverage services, passenger transportation, recreation and entertainment, and travel agency and reservation services. See the detailed list of ISIC activities included at: <https://ilostat.ilo.org/methods/concepts-and-definitions/description-worker-and-sector-profiles/>

Despite attracting less-skilled workers, tourism jobs in Lumbini offer higher hourly wages than other sectors, making it a better-paying option in the province.

Average and median hourly monetary wage from main job in Lumbini in the Tourism sector vs. in Non-tourism activities, 2022/2023



Average and median hourly monetary wage from main job in Nepal in the Tourism sector vs. in Non-tourism activities, 2022/2023



Source: Own elaboration based on microdata from the Nepal Living Standards Survey 2022/23. Tourism sector refers to the ILO definition, based on ISIC Rev. 4 at the 4-digit level. It includes accommodation for visitors, food and beverage services, passenger transportation, recreation and entertainment, and travel agency and reservation services. See the detailed list of ISIC activities included at: <https://ilostat.ilo.org/methods/concepts-and-definitions/description-worker-and-sector-profiles/>

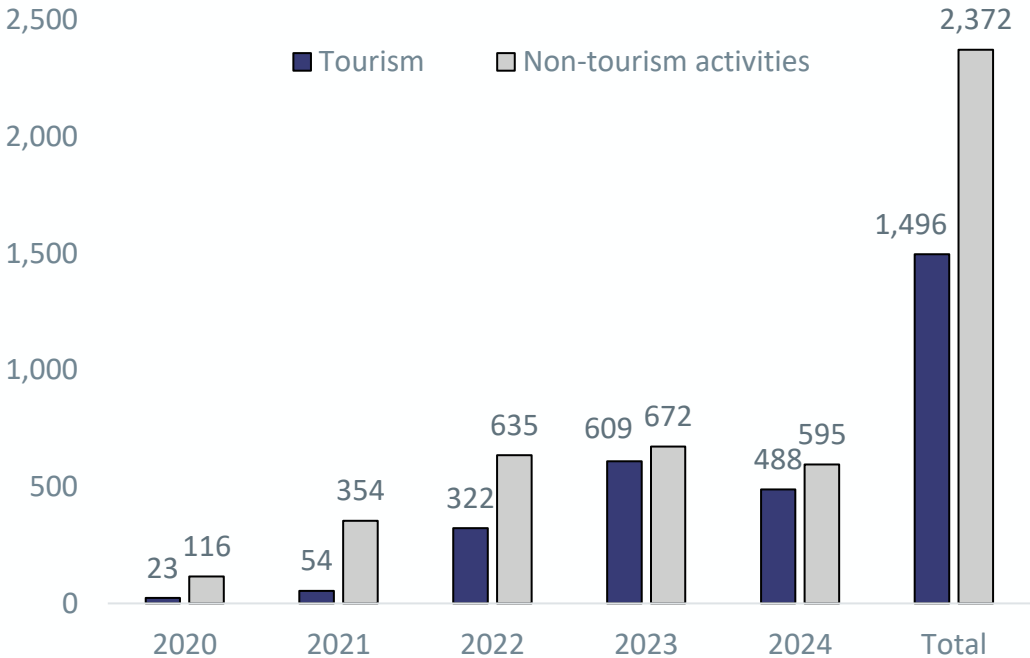
What are tourism employers looking for in Lumbini? – Demand side



After stagnating during COVID-19, the demand for workers in the tourism sector in Nepal has rebounded strongly, growing faster than demand for jobs in other sectors.

Number of online job postings by year and sector in Nepal, 2020-2024

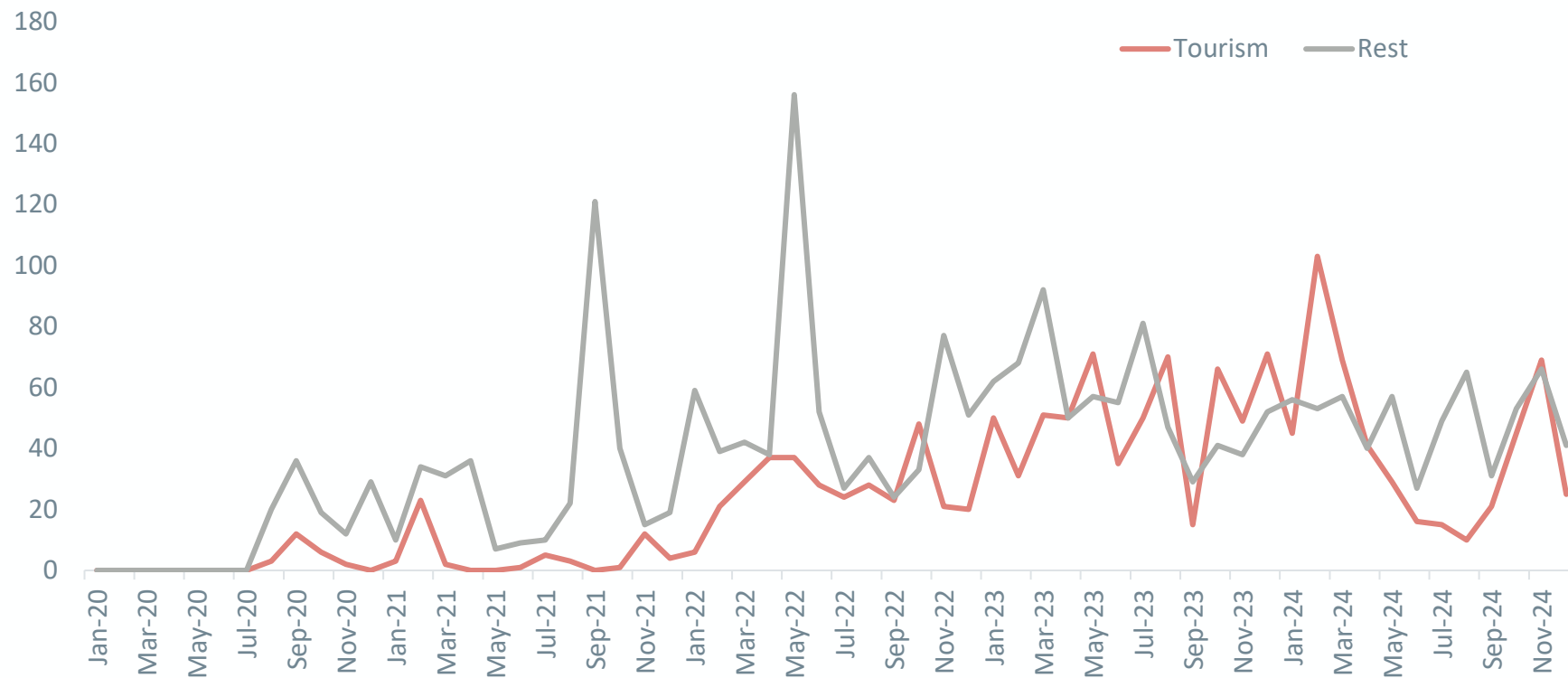
Year	Sector	
	Tourism	Non-tourism activities
2020	23	116
2021	54	354
2022	322	635
2023	609	672
2024	488	595
Total	1,496	2,372
Annual growth rate	115%	50%



Source: Own elaboration based on Lightcast Postings database. Tourism sector" refers to the ILO definition, proxied by NAICS sectors 72 (Accommodation and Food Services), 71 (Arts, Entertainment, and Recreation), 48–49 (Transportation and Warehousing), and 56 (Administrative and Support and Waste Management Services).

The demand for tourism workers in Nepal is very seasonal, peaking in the post-monsoon months (September–November) when the weather is cooler and skies are clearer.

Trends in the number of online job postings in Nepal by sector:
Tourism vs. Non-tourism, 2020-2024



Source: Own elaboration based on Lightcast Postings database. Tourism sector" refers to the ILO definition, proxied by NAICS sectors 72 (Accommodation and Food Services), 71 (Arts, Entertainment, and Recreation), 48–49 (Transportation and Warehousing), and 56 (Administrative and Support and Waste Management Services).

Annexes



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Limitations of our study

- **Limitations of our study:**

- Granular (4-digit) data prone to errors/small sample sizes.
- Balance needed between granularity and statistical robustness.

- **Ongoing global efforts to improve tourism related statistics:**

- Expert Group on Measuring Sustainability of Tourism (UN Tourism, ILO, UNSD).
- Aims to develop a harmonized statistical framework.
- May lead to new definitions for tourism-related employment.

Lumbini Buddhist University

- **Lumbini Buddhist University (LBU)**

- LBU is both a national and international center for Buddhist studies, drawing scholars and practitioners from around the world.
- It regularly hosts academic conferences, fosters cross-border collaboration, and organizes a wide range of cultural and academic events.
- Enhancing digital infrastructure, connectivity, and quality of programs can help attract more visitors and encourage longer stays among those interested in Buddhism.